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China Consumer Strategy

June retail sales return to growth on easier comps; 15th FYP sets the goal, not the how

China's retail sales moved back into positive territory in June, rising 1.0% YoY after a 0.6% YoY decline in May, ahead of Bloomberg consensus (-0.1% YoY), though the rebound was helped by an easier comparison base; on a two-year stacked basis, June retail sales were up 5.8%, roughly in line with May. By category, **consumer electronics** led the improvement (+13-17% YoY), followed by cosmetics (+13%) and food & beverage (+8%), while **home durables and autos** continued to weigh on the headline with HSD-DD declines. For 1H26, total retail sales increased 1.3% YoY, but momentum cooled meaningfully in 2Q (+0.2% vs 1Q at +2.4%). With 6.18 campaigns in the quarter, 2Q online retail sales (+2.6%) further outperformed offline (-0.6%). **The recently announced 'Expanding Consumption in the 15th FYP' implies a 3.7% CAGR target – encouraging in principle, but still light on the 'how', suggesting a back-end-loaded pickup and/or additional consumption stimulus may be needed.** Looking ahead, with demand still soft and higher input costs starting to bite, **we expect more companies to cut FY26 guidance during the 2Q26 reporting season**; while commodity costs have largely peaked, we believe cost pressure will likely persist through 2H26.

- **Sector performance recap – another month of underperformance.** China consumer staples/discretionary sector share prices are down 5%/4% over the past month (vs MSCI China/HSI Index -3%/-2%). Their forward P/E has deteriorated 4%/3% to 15x/12x (vs MSCI China/HSI Index down 4%/2% to 11x/11x).
- **CPI-PPI spread widening.** CPI was up 1.0% YoY in Jun (vs 1.2% in May), with food CPI down 1.6% YoY and non-food CPI up 1.5% YoY. Core CPI was up 1.0% YoY (vs 1.1% in May). PPI in Jun jumped to 4.1% in the month, which means the **CPI-PPI spread** has now further widened to -3.1%. Companies that are not able to bargain with their raw material suppliers and/or pass through the cost hike to the downstream will see meaningful margin squeeze from here.
- **Downside risks to unemployment.** The unemployment rate was 5.0% in Jun, flattish YoY and down 0.1ppt MoM. With the first round of AI adoption in more industries in China and higher input costs biting from 3Q26, there is a higher chance that more companies will seek "cost reduction" in 2H26 – headcount cuts seem one of the most practical measures.
- **Jun 2026 retail sales breakdown.** By channel: online retail sales grew 3.9% YoY, while offline retail sales were flattish YoY. Top 5 YoY performing categories: telecom products (up 17% YoY), office supplies (such as laptops; +13%), cosmetics (+13%), liquor/tobacco (+12%) and staple foods (+8%). Bottom 5 YoY performing categories: auto (down 16% YoY), building materials (-11%), home appliances (-9%), furniture (-7%), and fuel (-5%).
- **Stock calls.** We believe our barbell strategy would continue to work into 2H26: (I) Quality names with limited downside and earlier earnings stabilization – **Anta (OW)** for a well-executed multi-brand portfolio and overseas upside; **Nongfu (OW)** for strong brand momentum and margin buffer; **Midea (OW)** for a balanced revenue mix and B2B optionality; and (II) Turnaround stories – **Chagee (OW)** for China turnaround and upside in shareholder return;

Consumer

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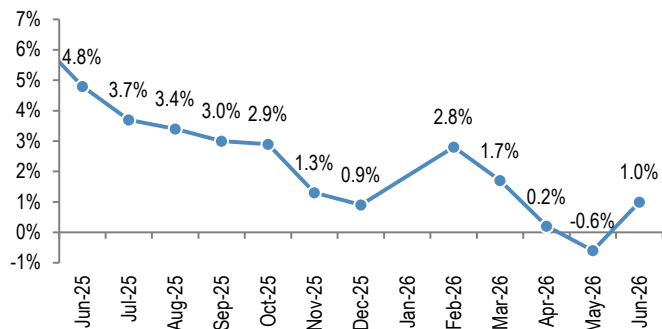
Luckin (OW) for better-than-feared SSS and earnings release from 2Q/3Q26. Investors may want to avoid those highly exposed to raw material hikes with limited pricing power – Ecovacs (UW), CR Beverage (N).

Table 1: China retail sales breakdown (YoY growth) and macro data

YOY GROWTH %	2021	2022	2023	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26	Apr-26	May-26	Jun-26	2Q26
Total retail sales	12.5%	-0.3%	7.2%	3.5%	4.6%	5.4%	2.7%	1.7%	3.5%	2.4%	0.2%	-0.6%	1.0%	0.2%
Retail sales ex-auto	13.0%	-0.4%	7.4%	4.0%	5.2%	5.8%	3.4%	2.8%	4.2%	3.5%	1.8%	1.0%	3.0%	2.0%
Retail sales of large retailers	13.4%	1.4%	6.5%	2.7%	5.7%	6.4%	2.0%	-0.8%	3.1%	2.2%	-4.4%	-4.9%	-2.0%	-3.7%
Online physical goods sales	12.0%	6.2%	8.4%	6.5%	5.7%	6.3%	5.5%	2.3%	4.8%	7.5%	0.2%	2.6%	3.9%	2.3%
Total retail sales	12.4%	-0.2%	7.2%	3.5%	4.6%	5.4%	2.7%	1.7%	3.5%	2.4%	0.2%	-0.6%	1.0%	0.2%
Urban	12.5%	-0.3%	7.1%	3.4%	4.5%	5.5%	2.5%	1.5%	3.4%	2.3%	-0.1%	-0.9%	0.8%	-0.1%
Rural	12.1%	0.0%	8.0%	4.2%	4.8%	4.9%	3.8%	2.8%	4.0%	3.0%	2.1%	1.5%	2.1%	1.9%
Total retail sales	12.5%	-0.2%	7.2%	3.5%	4.6%	5.4%	2.7%	1.7%	3.5%	2.4%	0.2%	-0.6%	0.9%	0.2%
Catering sales	18.6%	-6.3%	20.4%	5.4%	4.7%	3.9%	1.9%	3.0%	3.4%	4.2%	2.2%	0.6%	1.2%	1.3%
Goods sales	11.8%	0.5%	5.8%	3.2%	4.6%	5.6%	2.8%	1.5%	3.5%	2.2%	-0.1%	-0.7%	0.9%	0.0%
Total retail sales	12.5%	-0.3%	7.2%	3.5%	4.6%	5.4%	2.7%	1.7%	3.5%	2.4%	0.2%	-0.6%	1.0%	0.2%
Offline sales	12.6%	-2.5%	6.8%	2.4%	4.3%	5.1%	1.7%	1.5%	3.1%	0.9%	0.2%	-1.8%	0.0%	-0.6%
Offline goods sales	11.7%	-1.8%	4.6%	1.9%	4.2%	5.4%	1.7%	1.1%	3.1%	0.3%	-0.1%	-2.2%	-0.3%	-0.9%
Offline service sales	18.6%	-6.3%	20.4%	5.4%	4.7%	3.9%	1.9%	3.0%	3.4%	4.2%	2.2%	0.6%	1.2%	1.3%
Online physical goods sales	12.0%	6.2%	8.4%	6.5%	5.7%	6.3%	5.5%	2.3%	4.8%	7.5%	0.2%	2.6%	3.9%	2.3%
Online sales - overall	14.1%	4.0%	11.0%	7.2%	7.9%	9.1%	9.4%	5.8%	7.9%	8.0%	2.3%	3.4%	2.0%	2.6%
Online service and virtual goods sales	25.3%	-8.5%	27.5%	11.1%	19.8%	24.0%	21.2%	29.2%	23.3%	8.9%	6.1%	5.0%	-1.5%	3.1%
Online physical goods sales	12.0%	6.2%	8.4%	6.5%	5.7%	6.3%	5.5%	2.3%	4.8%	7.5%	0.2%	2.6%	3.9%	2.3%
Retail sales of large retailers	13.4%	1.4%	6.5%	2.7%	5.7%	6.4%	2.0%	-0.8%	3.1%	2.2%	-4.4%	-4.9%	-2.0%	-3.7%
Catering sales	23.6%	-5.9%	20.9%	2.9%	4.7%	2.6%	0.5%	1.2%	2.2%	3.8%	0.9%	-1.7%	0.1%	-0.3%
Goods sales	12.8%	1.9%	5.5%	2.7%	5.8%	6.7%	2.2%	-1.0%	3.2%	2.0%	-4.9%	-5.2%	-2.2%	-4.0%
Staple foods	10.8%	8.7%	5.2%	9.9%	12.2%	12.3%	7.2%	6.2%	9.3%	10.0%	4.1%	1.9%	7.9%	4.7%
Soft drinks	20.4%	5.3%	3.2%	2.1%	-0.5%	-0.8%	3.0%	3.9%	1.4%	6.7%	3.6%	6.1%	5.8%	5.2%
Tobacco & Alcohol	21.2%	2.3%	10.6%	5.7%	6.3%	4.5%	2.4%	-1.0%	3.1%	16.0%	11.7%	4.8%	12.1%	9.5%
Apparel & textiles	12.7%	-6.5%	12.9%	0.3%	3.4%	2.7%	5.0%	3.3%	3.6%	9.3%	3.6%	3.8%	3.9%	3.8%
Cosmetics	14.0%	-4.5%	5.1%	-1.1%	3.1%	2.6%	7.4%	8.2%	5.4%	5.9%	4.7%	2.5%	12.6%	6.6%
Gold & jewelry	29.9%	-1.1%	13.3%	-3.1%	6.9%	17.3%	12.6%	16.7%	13.0%	12.6%	-21.3%	-8.9%	-3.4%	-11.3%
Home & personal care	14.4%	-0.7%	2.7%	3.0%	6.8%	7.8%	6.3%	3.3%	6.0%	5.9%	3.5%	1.6%	3.9%	3.0%
Sporting & entertainment			11.1%	11.0%	25.5%	19.5%	7.8%	6.3%	14.1%	1.9%	-8.0%	-8.0%	-2.2%	-5.9%
Home appliances	10.0%	-3.9%	0.5%	12.2%	19.3%	40.4%	3.3%	-17.7%	8.3%	0.0%	-15.1%	-15.6%	-8.7%	-12.7%
Medicine	9.9%	12.4%	5.2%	3.1%	2.1%	0.7%	2.9%	3.1%	2.2%	2.5%	4.2%	4.0%	4.4%	4.2%
Office staples	18.8%	4.4%	-6.1%	-0.3%	21.7%	28.7%	11.5%	11.5%	17.3%	9.3%	-6.9%	-1.5%	12.7%	2.8%
Furniture	14.4%	-7.5%	2.8%	3.6%	18.0%	27.2%	8.1%	0.6%	12.1%	1.9%	-10.4%	-8.7%	-6.6%	-8.4%
Telecom	14.6%	-3.4%	7.0%	10.0%	27.0%	21.5%	17.7%	21.6%	21.8%	20.8%	6.2%	0.7%	16.5%	8.3%
Oil & gas	21.2%	9.7%	6.6%	0.3%	-0.1%	-6.7%	-5.1%	-8.3%	-5.0%	-6.4%	-6.5%	-3.2%	-5.1%	-4.9%
Autos	7.6%	0.7%	5.9%	-0.5%	-0.8%	2.3%	-3.0%	-6.5%	-2.3%	-9.0%	-15.3%	-16.1%	-16.1%	-15.9%
Home furnishing	20.4%	-6.2%	-7.8%	-2.0%	0.0%	5.2%	-3.0%	-12.5%	-3.3%	-4.7%	-13.8%	-13.6%	-10.5%	-12.6%
Real GDP	8.4%	3.0%	5.2%	5.0%	5.4%	5.2%	4.8%	4.5%	5.0%	5.0%				4.3%
CPI	0.9%	2.0%	0.2%	0.2%	-0.1%	0.0%	0.1%	0.6%	0.1%	0.8%	1.2%	1.2%	1.0%	1.1%
Food CPI	-1.4%	2.9%	-0.3%	-0.6%	-1.4%	-0.3%	-2.8%	-0.5%	-1.3%	0.4%	-1.6%	-1.7%	-1.6%	-1.6%
Non-food CPI	1.4%	1.8%	0.4%	0.4%	0.2%	0.0%	0.8%	0.8%	0.5%	1.0%	1.8%	1.9%	1.5%	1.7%
Core CPI (ex-food & energy)	0.8%	0.9%	0.7%	0.5%	0.3%	0.6%	1.0%	1.2%	0.8%	1.2%	1.2%	1.1%	1.0%	1.1%
PPI	8.1%	4.2%	-3.0%	-2.2%	-2.3%	-3.2%	-1.6%	-2.1%	-2.3%	-0.6%	2.8%	3.9%	4.1%	3.6%
Unemployment rate	5.1%	5.6%	5.2%	5.1%	5.3%	5.0%	5.3%	5.1%	5.2%	5.3%	5.2%	5.1%	5.0%	5.1%
16-24 year-old	14.3%	17.6%	--	15.8%*	16.5%*	15.1%*	17.8%*	16.9%*	16.6%*	16.4%*	16.3%*	15.6%*		
25-29 year-old				6.7%*	7.1%*	6.9%*	7.4%*	7.1%*	7.1%*	7.2%*	7.4%*	7.2%*		
25-59 year old	4.5%	4.8%	--	4.0%*	4.1%*	4.0%*	4.0%*	3.8%*	4.0%*	4.2%*	4.2%*	4.1%*		

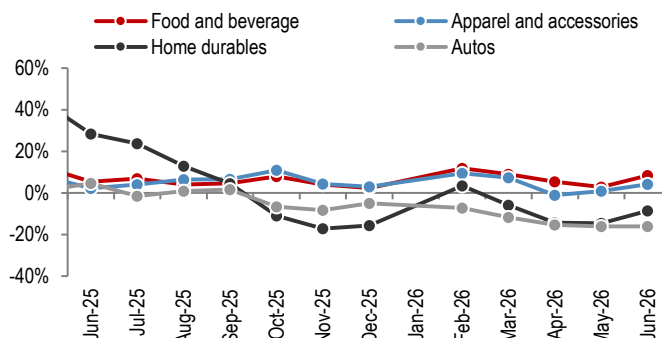
Source: National Bureau of Statistics. Notes: * Scope change: From Dec-23, unemployment for 16- to 24-year-olds excludes students. (1) February = January and February combined. (2) China retail sales = offline service (i.e., catering) + offline goods + online physical goods. (3) Online retail sales = online physical goods sales (included in China retail sales) + online service and virtual goods sales (not included in China retail sales). (4) Retail sales growth by category is based on survey of larger retailers. Large retailers = wholesalers with annual revenue above Rmb20mn + retailers with annual revenue above Rmb5mn + hotels/restaurants with annual revenue above Rmb2mn. (5) % growth data is subject to rounding error.

Figure 1: China retail sales YoY trend



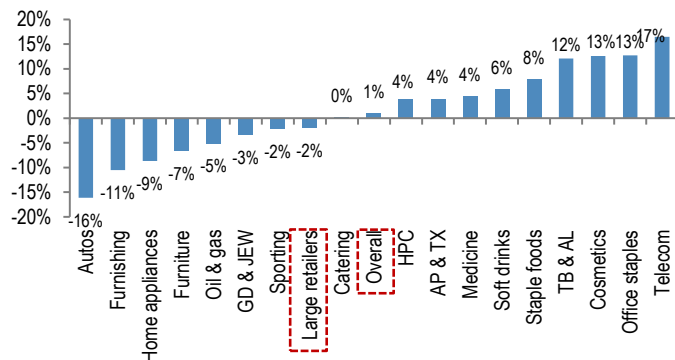
Source: NBS

Figure 2: China retail sales YoY trend – key categories



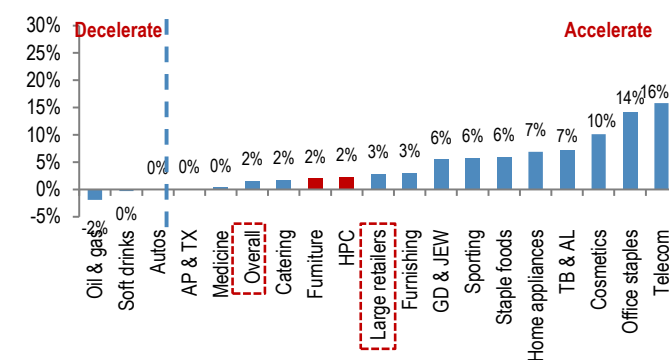
Source: NBS. Note: Food and beverage = Staple food + soft drinks + alcohol and tobacco. Apparel and accessories = apparel + cosmetics + gold & jewelry + sporting goods; home durables = home appliance + home furnishing materials + furniture.

Figure 3: Retail sales YoY growth ranked by category: April 2026



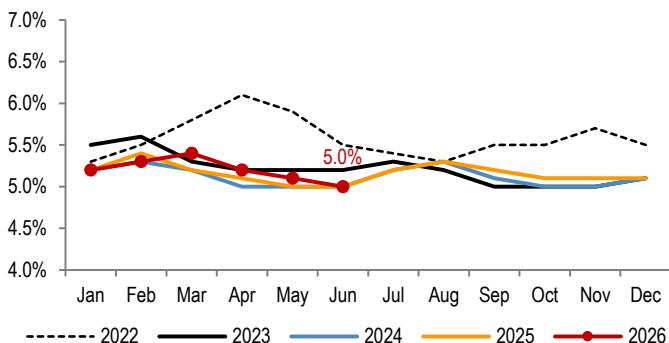
Source: NBS. "TB & AL" = tobacco & alcohol. "AP & TX" = apparel & textiles. "GD & JEW" = gold & jewelry. "HPC" = home & personal care.

Figure 4: Change in YoY growth by category: April vs March 2026



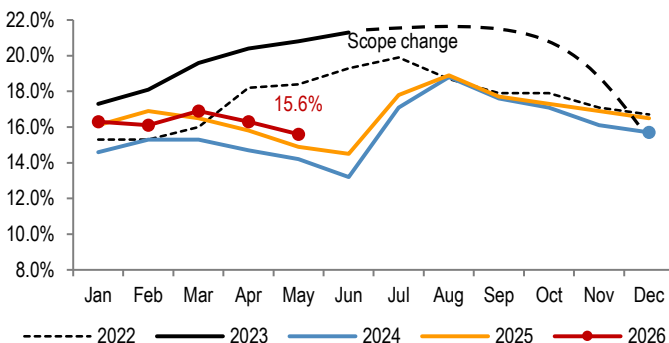
Source: NBS. "TB & AL" = tobacco & alcohol. "AP & TX" = apparel & textiles. "GD & JEW" = gold & jewelry. "HPC" = home & personal care.

Figure 5: Unemployment rate: Overall



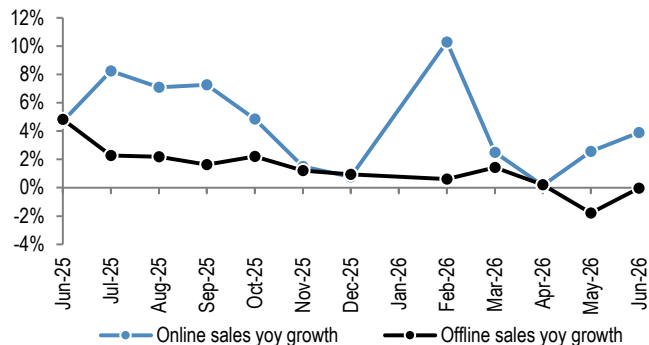
Source: NBS.

Figure 6: Unemployment rate: 16- to 24-year-olds



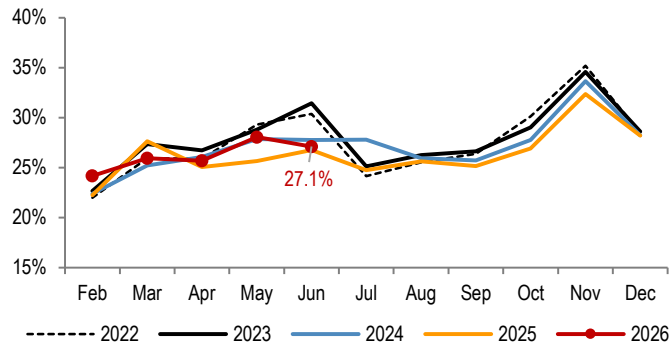
Source: NBS. Note: Scope change: From Dec-23, unemployment for 16- to 24-year-olds excludes students.

Figure 7: China retail sales: Online vs. offline sales growth



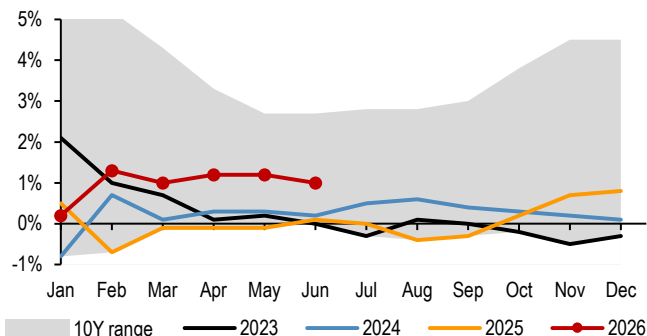
Source: NBS. Note: Online sales include online physical sales only. China retail sales do not include online sales of virtual goods and services.

Figure 8: China retail sales: Online % of total



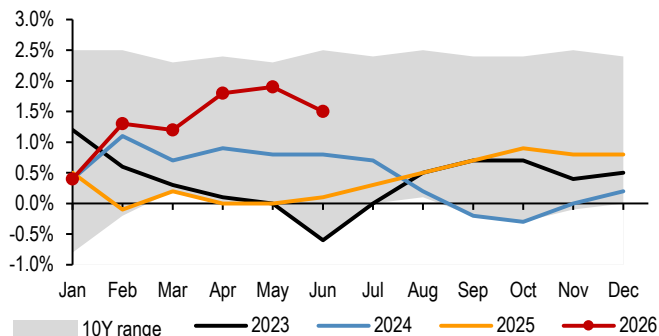
Source: NBS. Note: Online sales include online physical sales only. China retail sales do not include online sales of virtual goods and services.

Figure 9: China headline CPI YoY



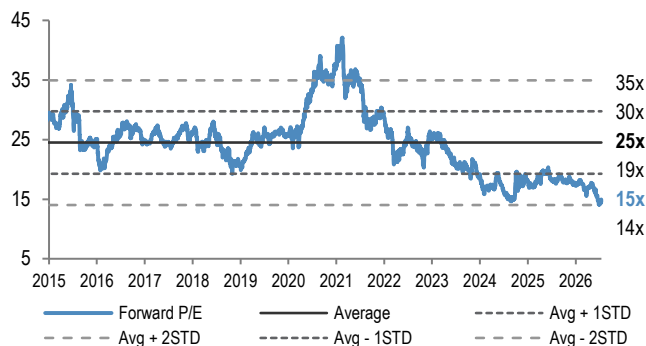
Source: NBS.

Figure 10: China non-food CPI YoY



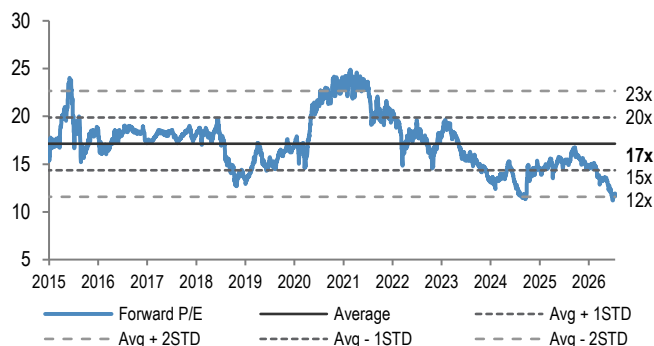
Source: NBS.

Figure 11: China Staples 12-month forward P/E band



Source: Bloomberg Finance L.P. (Priced on 15 July 2026)

Figure 12: China Discretionary (ex-Internet and auto) 12-month forward P/E band



Source: Bloomberg Finance L.P. (Priced on 15 July 2026)

Table 2: China consumer - valuation comp table

Company name	Sub-sector	BBG Ticker	Rating	Price (LC)	Mkt Cap (USDmn)	P/E (x)		PEG (x)	EV/EBITDA			P/S (x)		P/B (x)		FCF Yield (%)		Div. Yield (%)		ROE (%)
						2026E	2027E		2026E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	
China/HK SAR Staples																				
Moutai - A	Baijiu	600519 CH	N	1,248	230,503	18.3	17.1	3.4	12.8	12.0		8.7	8.3	5.9	5.4	6.8%	5.4%	4.3%	4.6%	32.5%
Wuliangye - A	Baijiu	000858 CH	UW	76.0	43,557	14.6	13.5	0.3	6.9	6.3		4.9	4.5	2.2	2.2	7.5%	7.1%	6.7%	6.0%	15.5%
Luzhou Laojiao - A	Baijiu	000568 CH	N	82.9	18,037	12.1	11.4	NM	6.8	6.3		4.9	4.6	2.3	2.2	9.4%	9.8%	6.4%	6.6%	19.6%
Yanghe - A	Baijiu	002304 CH	UW	39.7	8,832	21.6	18.3	1.0	9.2	7.8		3.3	3.1	1.3	1.3	5.0%	3.0%	5.9%	5.5%	6.2%
Budweiser APAC	Beer	1876 HK	N	6.4	10,798	17.3	15.7	1.3	5.2	4.9		1.8	1.8	1.1	1.1	7.4%	8.2%	6.7%	7.0%	5.9%
CRB	Beer	291 HK	OW	23.0	9,529	11.0	10.3	0.4	6.2	5.9		1.6	1.6	1.8	1.7	10.6%	10.1%	5.5%	6.1%	17.2%
Tsingtao - A	Beer	600600 CH	N	54.6	9,415	15.5	14.8	2.2	5.8	5.5		1.9	1.9	2.3	2.2	5.6%	5.6%	4.5%	4.7%	15.1%
Tsingtao - H	Beer	168 HK	OW	44.2	9,415	10.9	11.2	1.5	6.0	5.7		1.9	1.9	1.6	1.5	5.6%	5.6%	6.4%	6.9%	15.4%
Nongfu Spring	Beverage	9633 HK	OW	41.8	59,953	22.8	20.1	1.7	14.8	13.1		6.7	6.0	8.8	7.1	3.9%	4.6%	3.0%	3.4%	39.9%
Eastroc - A	Beverage	605499 CH	N	125.2	13,342	16.9	14.3	0.8	10.8	9.4		3.6	3.0	5.1	4.3	3.9%	4.4%	3.5%	3.9%	37.4%
CR Beverage	Beverage	2460 HK	N	7.5	2,295	14.5	12.5	1.2	4.8	4.1		1.3	1.2	1.3	1.1	5.8%	5.2%	5.3%	5.9%	9.3%
Mixue Group	FMD	2097 HK	UW	218.8	10,598	11.3	10.0	1.1	6.6	5.8		1.9	1.7	2.3	1.9	7.8%	8.9%	1.0%	1.8%	22.0%
Luckin Coffee	FMD	LKNCY US	OW	33.0	9,450	15.9	13.4	0.5	7.0	5.5		1.1	0.9	3.3	2.7	3.8%	7.4%	0.0%	2.1%	23.2%
Guming	FMD	1364 HK	OW	21.1	6,397	13.1	10.8	0.6	10.6	8.8		2.7	2.2	5.3	4.0	9.0%	10.6%	3.7%	4.3%	46.1%
Chagee	FMD	CHA US	OW	11.3	2,152	8.0	7.4	0.3	4.9	4.3		1.0	0.9	1.7	1.5	7.5%	11.0%	5.2%	5.3%	20.4%
WH Group	Meat	288 HK	OW	8.1	13,276	8.3	7.9	NM	4.9	4.7		0.5	0.4	1.2	1.1	13.7%	11.8%	7.0%	7.4%	14.1%
Yum China	QSR/Condiment	YUMC US	OW	43.3	14,928	14.9	13.5	4.1	7.6	7.0		1.2	1.1	2.8	2.5	6.2%	7.3%	2.6%	3.0%	18.6%
Haitian - A	QSR/Condiment	603288 CH	OW	35.7	30,513	26.6	24.0	2.1	17.8	16.1		6.6	6.1	4.8	4.6	3.7%	4.2%	3.1%	3.4%	18.5%
Yili - A	Dairy	600887 CH	OW	25.9	24,233	13.4	12.4	2.0	11.5	10.9		1.4	1.3	2.8	2.6	8.6%	8.2%	5.6%	5.9%	21.0%
Mengniu	Dairy	2319 HK	OW	17.6	8,679	11.9	10.8	0.2	6.8	6.5		0.7	0.7	1.3	1.2	9.1%	11.0%	3.9%	4.5%	11.3%
Feihe	Dairy	6186 HK	OW	3.0	3,405	9.8	9.2	1.7	4.6	4.3		1.2	1.2	0.9	0.9	11.0%	11.1%	8.3%	7.9%	9.3%
Simple average						14.2	12.9	1.6	8.2	7.5		2.4	2.3	2.8	2.5	7.2%	7.9%	4.9%	5.3%	19.7%
China/HK SAR Discretionary																				
Midea - A	Home app	000333 CH	OW	82.5	92,494	13.4	12.3	1.7	10.6	9.8		1.3	1.2	2.6	2.5	5.7%	8.2%	5.3%	5.8%	19.6%
Haier - H	Home app	6690 HK	OW	20.9	27,572	8.5	7.6	1.7	7.0	6.5		0.6	0.6	1.3	1.2	10.7%	11.2%	6.5%	7.6%	15.9%
Haier - A	Home app	600690 CH	OW	21.0	27,572	9.7	8.9	1.9	6.8	6.3		0.6	0.6	1.5	1.4	10.7%	11.2%	5.7%	6.4%	15.8%
Gree - A	Home app	000651 CH	N	39.8	32,963	7.6	7.3	5.1	4.5	4.3		1.3	1.2	1.4	1.3	10.2%	11.3%	7.2%	7.4%	18.5%
Ecovac - A	Home app	603486 CH	UW	53.4	4,567	14.8	12.5	0.7	9.7	8.3		1.4	1.2	2.9	2.5	3.6%	6.9%	1.9%	2.3%	20.3%
Supor - A	Home app	002032 CH	OW	43.5	5,141	15.5	14.6	2.2	12.1	11.4		1.5	1.4	5.4	4.9	8.0%	6.2%	6.2%	6.0%	34.0%
Robam - A	Home app	002508 CH	N	15.5	2,167	10.5	10.0	0.9	7.1	6.6		1.4	1.4	1.2	1.1	8.2%	9.3%	5.9%	6.3%	11.3%
Bosideng	Apparel	3998 HK	OW	4.8	7,202	11.8	10.6	0.9	5.5	5.2		1.7	1.6	2.5	2.3	7.1%	8.6%	7.3%	7.7%	22.3%
HLA Corp - A	Apparel	600398 CH	OW	5.8	4,144	12.1	11.1	1.8	5.7	5.2		1.2	1.1	1.5	1.4	10.5%	4.6%	7.0%	7.5%	12.1%
Semir - A	Apparel	002563 CH	OW	5.6	2,241	14.6	13.2	1.1	6.0	5.3		0.9	0.9	1.3	1.3	14.5%	5.6%	5.6%	6.1%	9.0%
Peacebird - A	Apparel	603877 CH	N	12.7	884	23.3	19.0	0.6	5.9	5.2		0.9	0.9	1.3	1.3	7.3%	5.5%	3.3%	4.3%	4.7%
Botanee - A	Beauty	300957 CH	OW	32.4	2,029	21.7	18.6	1.1	11.2	9.7		2.3	2.1	2.1	1.9	-0.3%	2.4%	2.0%	2.3%	9.7%
Proya - A	Beauty	603605 CH	OW	59.9	3,506	14.8	13.5	1.8	9.6	8.8		2.1	1.9	3.3	2.9	5.1%	7.7%	2.6%	2.8%	23.2%
Jahwa - A	Beauty	600315 CH	UW	18.0	1,786	31.4	24.3	0.4	16.9	13.7		1.7	1.5	1.7	1.6	4.3%	3.5%	1.0%	1.3%	5.5%
Marubi - A	Beauty	603983 CH	N	29.0	1,721	35.4	29.2	1.3	25.2	21.1		3.0	2.6	3.3	3.1	1.6%	2.4%	1.7%	2.0%	9.5%
Chicmax	Beauty	2145 HK	OW	27.4	1,423	7.1	5.9	0.4	5.4	4.6		0.9	0.7	2.6	2.0	15.3%	12.6%	6.4%	7.1%	37.7%
CTG Duty Free - A	Duty-free shop	601888 CH	OW	54.8	16,627	22.3	18.8	0.8	11.9	10.2		1.9	1.7	1.9	1.8	4.7%	5.1%	2.1%	2.4%	8.7%
Pop Mart	Specialty retail	9992 HK	N	157.4	26,745	12.5	10.7	0.8	8.3	7.0		4.1	3.5	5.4	3.9	8.2%	7.9%	2.0%	2.3%	49.2%
Miniso - ADR	Specialty retail	MNSO US	OW	11.5	3,571	7.8	7.0	0.1	5.2	4.8		0.9	0.8	1.9	1.7	18.4%	16.2%	6.5%	9.5%	25.7%
Miniso - H	Specialty retail	9896 HK	OW	24.4	3,854	8.4	7.6	0.1	5.5	5.2		1.0	0.9	2.1	1.8	17.1%	15.0%	6.0%	8.8%	25.7%
Laopu Gold	Jewelry	6181 HK	OW	377.2	8,506	7.0	6.0	0.2	5.6	4.9		1.4	1.2	3.6	2.7	12.4%	11.0%	9.1%	10.2%	56.0%
Chow Tai Fook^	Jewelry	1929 HK	OW	11.9	15,006	11.4	10.7	0.6	7.9	8.3		1.2	1.1	3.5	3.1	9.1%	10.8%	5.8%	6.5%	31.3%
Lao Feng Xiang - A	Jewelry	600612 CH	UW	34.2	2,208	11.8	11.0	NM	4.6	4.3		0.3	0.3	1.3	1.2	17.9%	6.9%	3.5%	3.8%	10.9%
Anta	Sportswear	2020 HK	OW	74.1	26,424	12.5	11.4	1.6	7.0	6.4		2.0	1.9	2.3	2.1	10.1%	10.2%	3.9%	4.3%	19.9%
Li Ning	Sportswear	2331 HK	OW	15.1	4,990	11.1	9.9	NM	3.6	3.3		1.1	1.0	1.2	1.1	7.8%	9.4%	4.4%	5.0%	10.5%
Xtep	Sportswear	1368 HK	OW	3.7	1,322	7.1	6.2	2.5	3.5	3.1		0.6	0.6	0.8	0.8	18.7%	6.8%	7.2%	9.6%	11.9%
Shenzhou	Textiles	2313 HK	OW	43.2	8,280	9.3	8.5	1.4	5.3	4.9		1.7	1.6	1.4	1.3	8.9%	9.8%	6.6%	7.3%	15.2%
Luolai - A	Textiles	002293 CH	N	11.0	1,356	15.3	13.6	1.2	9.9	8.9		1.8	1.6	2.1	2.1	7.2%	5.3%	5.5%	6.2%	13.9%
Luthai - A	Textiles	000726 CH	N	5.8	626	9.1	8.3	0.5	3.2	3.0		0.7	0.6	0.5	0.5	NA	NA	3.4%	3.6%	5.0%
Best Pacific	Textiles	2111 HK	OW	2.5	325	4.4	3.9	0.8	3.5	3.1		0.5	0.4	0.6	0.6	29.8%	25.4%	12.2%	14.3%	NA
Simple average						13.4	11.7	1.2	7.9	7.0		1.4	1.3	2.1	1.9	9.8%	8.6%	5.0%	5.7%	18.9%

Note: Bloomberg consensus estimates. Prices as of 15 July 2026.

Source: Bloomberg Finance L.P., J.P. Morgan.

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